

loans to business ventures that may remotely appear risky for fear of aggravating an already high level of NPAs.

### Check Your Progress 2

1) Examine the steps taken by RBI about NPAs.

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2) In what ways NPAs affect the growth of the Indian economy?

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3) What is the relationship between NPAs and Banks' profitability?

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4) Highlight the impact of rising NPAs on Banks' capacity to create credit.

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## 27.5 MEASURES TO TACKLE THE PROBLEM OF NPAS

Until the mid-eighties, management of NPAs was left to the banks and the auditors. In 1991, the Narasimhan Committee on the Financial System suggested that banks should classify their advances into four broad groups, viz. (i) standard assets; (ii) substandard assets; (iii) doubtful assets; and (iv) loss assets. Following this, prudential norms relating to income recognition, asset classification and provisioning were introduced in 1992 in a phased manner.

In 1998, the Narasimhan Committee on Banking Sector Reforms recommended a further tightening of prudential standards to strengthen the prevailing norms and bring them on par with evolving international best practices. With the introduction of 90-day norms for the classification of NPAs in 2001, the NPA guidelines were brought to par with international standards (LSS, 2014).

NPAs can be manageable, but it depends on how many there are and how far they are past due. In the short term, most banks can take on a fair amount of

NPAs. However, if the volume of NPAs continues to build over some time, it threatens the financial health and future success of the lender.

Generally, banks keep NPAs in their books in the expectation of recovering the money or making provisions for it. The banks or the lenders have options to recover their losses, including taking possession of any collateral. If they are unable to recover or sell off the loan at a discount to a collection agency they write it off entirely as bad debt.

The decline of NPAs is essential to improve the profitability of banks and fulfil the capital adequacy norms as per the Basel Accord (Rajput et al, 2011). Central Repository of Information on Large Credits (CRILC) was set up to share data for loans over ₹50 million with all banks. The CRILC data included the status of each loan; whether it was performing or had become NPA or was heading in that direction. This system helped the banks identify warning signs and helped segregate the habitual offenders (Palli, 2020).

To empower the lenders, a new legislation was enacted in the form of the Insolvency and Bankruptcy Code (IBC) in 2016. More than 50 per cent of NPA matters are being resolved through the IBC. It laid down separate insolvency procedures for companies, individuals and partnership companies giving a maximum period of 180 days for resolution extendable by 90 days. The NCLT was set up under the IBC, 2016 and at the pre-admission stage 4452 cases were disposed of which helped creditors obtain dues of ₹2 trillion; and various restructured post-liquidation or adjudication (Palli, 2020).

The National Asset Reconstruction Company (NARCL) along with the India Debt Resolution Company (IDRCL) will take over the first set of bad loans from banks and try to resolve them. In addition to the statutory provisions already available to lenders for recovery and resolution, the other measures are:

- i) Recovery of Debts and Bankruptcy Act, 1993,
- ii) Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002, and
- iii) Insolvency & Bankruptcy Code, 2016 (IBC).

The government launched '*Mission Indradhanush*' in 2015 to make the working of public sector banks more transparent and professional to curb the menace of NPAs in future. Banks continue to pursue recovery actions initiated in written-off accounts through various recovery mechanisms available.

An important amendment was made in 2021 in the SARFAESI Act, 2002, which gives not only the right of ownership to the banks on such properties but also provides the right of control and management of such forfeiture-secured assets. Now, banks and financial institutions may receive guidance and assistance from Asset Reconstruction Companies (ARCs) to collect their NPAs.

As a precautionary measure, banks set aside a proportion of their profits to meet the risk created by the NPAs. This amount is known as provisioning for non-performing assets. As such, banks keep aside a certain amount from their profits in a particular quarter for NPAs. This step is taken as a precautionary measure in anticipation that assets can turn into losses in the future. Such provisions are made by Banks based on different NPA categories. This provision also depends upon the type of bank. For instance, Tier-I and Tier-II banks have different provisioning norms. By this method, banks can maintain a healthy book of accounts by provisioning for bad assets.

There is a need to ensure that the banking system recognizes financial distress early, takes prompt steps to resolve it, and ensures fair recovery for lenders and investors so that the banking sector functions without stress.

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## 27.6 EFFECTIVENESS OF ACTION TAKEN TO CURB NPAS

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The state of the banking system is reflected in the banking stability indicator. BIS gives an overall assessment of changes in underlying conditions and risk factors that have a bearing on the stability of the banking sector. Despite the efforts of the RBI and recommendations of Basel committees, the problem of an upsurge in NPAs is continuing (Jain, et al, n.d.)

Banks need to take precautions regarding credit assessments and should take measures in pre- and post-sanction of the loans to avoid slippages and standard assets of NPAs. The procedures for loans and securities hypothecated need to be checked. NPA and their provisions, interest calculations, repayment schedule, and audit of bank borrowers need to be critically analyzed. There should be a system of periodic review of credit card holders' accounts (Jain, et al, n.d.). Timely action is essential to ensure the future growth of the Bank.

The prudential and provisioning norms and other initiatives taken by the regulatory bodies have pressurized banks to improve their performance and consequently resulted in the trim down of NPAs as well as improvement in the financial health of the Indian banking system. The government in August 2019, announced a merger of 10 public sector banks into 4 banks reducing the public sector banks to 12 from 27. This will help improve the profitability of public sector banks and consequently reduce total gross NPAs. Remarkably, rigorous methods have been and shall continue to be adopted to address the situation surrounding NPAs. Instituting the use of third-party data sources in PSBs for comprehensive due diligence across data sources at the sanction stage itself, to mitigate risk on account of misrepresentation and fraud. Despite, RBI's efforts to control NPAs, there is room for further action in the following way (Palli, 2020):

- i) Records of borrowers should be available to banks to form an opinion and conduct financial background checks of prospective borrowers.

- ii) The credit team of banks should also undergo periodic training to update their skills and industry benchmarks along with credit evaluation sheets, which should be upgraded regularly.
- iii) Data analytics can also be a significant tool to conduct effective periodic reviews and audits.

The banks are supposed to focus their actions on reducing their NPAs and operating costs to improve their profitability (Das & Uppal, 2021). The banks should follow proper procedures for the dispatch of loans. There is a need to take time-oriented action to hinder the evolution of NPAs in India.

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## 27.7 RECENT POLICY MEASURES TOWARDS NPAS

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The issue of NPAs is of considerable significance for the regulators as the intensification of the same has always been the precursor to the banking crisis and banking failures worldwide. One must recognize the centrality of NPAs in ensuring the stability of scheduled commercial banks. The proactive approach to make provisions on the probable losses even for the standard assets is a globally accepted prudent norm set by the IFRS 9 standard. The RBI also highlighted the importance of keeping the expected loss-based forward-looking provisions for the safety of commercial banks in India.

Tracking the significant increase in credit risk is a novel addition to the new accounting norm since it will enable the banks to heighten their diligence to protect themselves from the risks of bad loans. The ECL methodology takes into account the historical probability of default trends as well as current and future economic scenarios and predictions. Thus, it significantly changes banks' incentives by inclining them to manage and dispose of bad loans much more actively than the existing process. The ECL method is expected to bring prudence in lending since banks will be able to better monitor their loan slippage and track rating movements (Bandyopadhyay, 2023).

Customising systemic controls to domestic banking, the RBI rightly urged banks to make extra provisions against exposure to the top 20 business houses that face higher external risks. The nudge by the RBI is more towards building a buffer, banks can decide on how much they would want to set aside if they have exposure to any of the 20 conglomerates. The prudential provisioning will reflect as part of the provisioning buffer held by banks. (The Hindu Business Line, March 27, 2023).

The crux of the recent Supreme Court ruling is that it affirms the right of a borrower to be given a fair hearing before the NPA account is declared as fraud. On March 27, 2023, the Supreme Court in the case *State Bank of India vs Rajesh Agarwal* ruled that the principles of natural justice must be applied to borrowers, who should be given a hearing before banks classify loan accounts as fraudulent. The court also said the decision to classify a loan as fraudulent should be made by a reasoned order, given the potentially serious

civil consequences. The SC ruling may lead to fewer cases of fraud being registered but could also lead to more accountability and punishment in such cases. Given the situation, even a small improvement on this front would be a huge step (Mint, March 31, 2023).

### Check Your Progress 3

- 1) Give an outline of measures taken by banks to curb the growth of NPAs.  
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- 2) What are the suggestions made by the Narasimhan Committee in 1998?  
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- 3) Analyse the effectiveness of measures for tackling the problem of NPAs.  
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- 4) Why has RBI urged banks to make extra provisions against mismatch between assets and liabilities?  
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- 5) In what way Central Repository of Information on Large Credits (CRILC) will help in reducing NPAs?  
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## 27.8 LET US SUM UP

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NPAs are loans or advances made by a financial institution, on which both principal and interest are unpaid for a specified period. NPAs are those loans that have ceased to generate income for the bank. They are recorded on a bank's balance sheet after a prolonged period of non-payment by the borrower. NPAs can be classified as substandard assets, doubtful assets, or loss assets, depending on the length of time overdue and the probability of repayment. The increase in non-performing advances hurts the rate of profit

Several factors like prevailing macroeconomic conditions, sectoral issues, global business environment, delayed recognition of stress by banks, aggressive lending during upturns, improper risk pricing and poor credit underwriting were attributed towards NPA build-up. One of the primary reasons for stressed assets can be attributed to lethargic due diligence and an ineffective sanctioning process. A large proportion of NPAs arose because of exogenous shock. Most of the NPAs arose due to defaults by private sector non-financial firms.

The government and RBI regularly issue guidelines and have taken several initiatives aimed at the resolution of long-standing stressed assets on the books of banks as well as timely identification and recognition of stress immediately upon default and taking corrective action for mitigation of the same. For the borrower, if the asset is non-performing and does not pay the interest, it can hurt their creditworthiness and growth. Also, it will hamper their ability to obtain a loan in future.

Banks faced a significant challenge of rising NPAs in 2011 which peaked at 11.18 per cent in the fiscal year 2018. Even the government is allowing the banks to make provision for NPAs. It is important that both the borrower and lender must be aware of the NPAs. RBI has introduced stringent policy norms and banks have to make their NPA numbers public from time to time.

## 27.9 KEY WORDS

- Bank for International Settlements (BIS)** : It is an international financial institution owned by central banks that “fosters international monetary and financial cooperation and serves as a bank for central banks.”
- ECL approach** : This approach requires the estimation of credit losses through the life of a financial instrument and subsequently the present value of such credit losses, as on the reporting date.
- Fraud** : This is indicative of deceitful acts. Bank fraud is a purposeful act of omission or conduct by any person in the course of a banking transaction or the bank’s books of accounts. Fraud denotes a false statement made knowingly.
- IFRS 9 standard** : IFRS 9 specifies how an entity should classify and measure financial assets, financial liabilities, and some contracts to buy or sell non-financial items.
- Twin Balance Sheet (TBS) problem** : This deals with two balance sheet problems. One with Indian companies and the other with Indian Banks. Thus, TBS is a two-fold problem for the Indian economy which deals with overleveraged

companies and bad-loan-encumbered banks. This can be explained by the fact that the corporations over-expand during a boom, leaving them with obligations that they can't repay. So, they default on their debts, leaving bank balance sheets impaired, as well. This combination then proves devastating for growth. This has been an issue lingering for decades in the Indian economy, albeit in different forms and structural names.

**Willful defaulter** : According to RBI, a willful defaulter is any unit which has defaulted in repaying the lender. Even when it could be repaid. Willful default occurs when a debtor willfully defaults on the repayment of a loan.

**Zombie lending** : Zombie lending is the extension of new credit or prolonging of existing loans to low-productivity firms. While such policies may stabilise the economy in the short run, they risk transforming transitory shocks into phases of delayed recovery and permanent productivity and output losses. It refers to extending credit to entities that cannot repay.

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## 27.11 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

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### Check Your Progress 1

- 1) Considering the nature of NPAs, the RBI has categorized them into three broad categories depending on the period of default. These categories are Sub-Standard Asset, Doubtful Asset, and Loss Asset.
- 2) NPAs are recorded on a bank's balance sheet only after a prolonged period of non-repayment by the borrower. When the banks accept that the loan will never be repaid, they record a loss on their balance sheet. The entire amount of the loan must be written off completely.
- 3) Refer to Sub-section 27.2.2
- 4) Under this system, the banks monitor and track the portfolios of their customers regularly. The EWS helps the banks to check the asset quality of the borrowers (corporate firms). The EWS (software) helps the banks to identify signs of distress which is not possible to check manually.
- 5) The twin balance sheet problem refers to a situation where the borrower (corporate sector) is under stress due to high debt, and the lender (banks) is under stress due to non-repayment of loans (NPAs). The balance sheets of both the borrower and the lender have problems.

### Check Your Progress 2

- 1) Defaults are to be recognized within 30 days, The Insolvency and Bankruptcy Code of 2016 plays an important role in the recovery of assets of those creditors whose case has been filed with the National Company Law Tribunal (NCLT). prudential asset-liability management

framework for domestic banks and curbs on total leverage to the systematic plugging of regulatory arbitrage between banks and other financial entities.

- 2) A strong banking sector is important for the Indian economy. The failure of the banking system may hurt other sectors. Refer to Section 27.6 for the detailed answer.
- 3) NPAs hurt the rate of profit of the Indian banks. NPAs negatively affect banks' ability to generate income and profitability. It on the one hand reduces their interest earning and, on the other hand, also affects their future deposits and increases their operating cost.
- 4) Higher NPAs influence the price of loans and interest rates, which in turn affects the confidence of investors, lenders, and depositors equally. While higher interest rates will directly impact the investors in need of loans for the creation of infrastructural and industrial projects, they also cause poor recovery of funds, which will affect the credit creation and revenue stream of the banks.

### Check Your Progress 3

- 1) Refer to Section 27.9
- 2) In 1998, the Narasimhan Committee on Banking Sector Reforms recommended a further tightening of prudential standards to strengthen the prevailing norms and bring them on par with evolving international best practices. With the introduction of 90-day norms for the classification of NPAs in 2001, the NPA guidelines were brought to par with international standards.
- 3) NPAs can be manageable, but it depends on how many there are and how far they are past due. In the short term, most banks can take on a fair amount of NPAs. However, if the volume of NPAs continues to build over some time, it threatens the financial health and future success of the lender. Also, refer to section 27.8.
- 4) The nudge by the RBI is more towards building a buffer, banks can decide on how much they would want to set aside if they have exposure to any of the 20 conglomerates.
- 5) CRILC) was set up to share data for loans over ₹50 million with all banks. The CRILC data included the status of each loan; whether it was performing or had become NPA or was heading in that direction. This system helped the banks identify warning signs and helped segregate the habitual offenders.

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## 27.12 TERMINAL EXERCISES

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- 1) Do you agree that there is a declining trend in the stock of NPAs? Give reasons in support of your answer.

- 2) “NPAs in the banking sector are growing and are found to be at the centre of the economic problem of the banks in India”. Explain this statement and discuss the problem created by growing NPAs.
- 3) How do NPAs reflect the asset quality, credit risk and efficiency in the allocation of resources to productive sectors? Explain the impact of NPAs on the stability of the banking system in India.
- 4) Why does the high level of NPAs cause worry to any financial institution? What measures have been taken to regulate the problem of NPAs?
- 5) “Most of the NPAs originated during the mid-2000s, during the period of high economic growth and positive business outlook. This led to an easy flow of credit”. Give reasons for this rise in NPAs.
- 6) Do you agree that there is a need to have a proper set of policy measures for recognizing NPAs early? What prompt steps to resolve and ensure fair recovery for lenders would you recommend?



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